

The Hidden Org Chart: Redesigning Roles at LSV



The Scenario

Shobesh Patel started in the new role of Service Head for LSV India's operations team five weeks ago. He was under significant pressure: Falling short would not only stall LSV's growth plans, it would undermine his mandate to improve processes and clarify work roles and shatter his hard-won credibility.

Fast Facts: LSV, Inc.

- **Headquarters:** Sunnyvale, California, United States
- **Founded:** 2013 by Prashant Gupta (CEO) and Akshay Singh (CFO)
- **Industry:** Customized software for pharmaceutical enterprise resource planning (ERP) systems
- **Subsidiary:** LSV India, founded in 2016

The Email

From: Prashant Gupta
To: Shobesh Patel
Subject: Increasing operational efficiency

Shobesh,

As you know, LSV India provides cost advantages and access to technical talent that has enabled LSV to scale, and LSV India now handles 70% of LSV's global delivery work. However, numerous problems have emerged recently, including project overruns and rework rates.

An upgrade for Truvance Pharma, budgeted at 3,000 person-hours, exceeded 4,200 hours and went two weeks over schedule. It resulted in lower margins, lost consultant time, and reduced morale. It also triggered a substantial penalty under LSV's contract with Truvance. Additionally, quality assurance data shows 18% of LSV's delivered code requires rework, well above the industry benchmark of 10% and LSV's long-run average of 9%.

We need to increase operational efficiency by 60% by January 1. I'm counting on you.

Prashant Gupta
CEO
LSV, Inc.

The CEO's 60% mandate meant slashing the average project cycle time from 120 to 75 days in six months—boosting throughput by 60%—and raising employees' billable utilization rate from 58% to 83%.

Background

Shobesh joined LSV with a reputation for stabilizing problematic projects and meeting client expectations under tight deadlines. His experience gave him perspective on LSV India's challenges, but longstanding practices made it difficult to apply his expertise and instill operational discipline. For instance, he quickly noticed that every project team comprised two consultants and one lead consultant (LC). When he asked why, an LC named Priya Sharma told him that LSV India established this formula to simplify staffing.

The arrangement created accountability, but it ignored wide swings in project complexity. On the Truvance upgrade, for example, a technically strong consultant spent evenings fixing defects while the designated LC struggled with basic integration scripts. By contrast, during a smaller support engagement, two highly skilled consultants were left largely idle because the work was so routine.

Shobesh knew that certain LCs sent updates directly to the CEO, and two had attended a family wedding in Bengaluru. As the intermediary between LCs and the CEO, Shobesh had the formal authority to reshuffle teams, but the maze of tight informal relationships made him uncertain about how much he should do by himself.

The Buzz

As Shobesh was trying to determine his approach, he talked to several LSV India employees and clients:

Priya Sharma, an LC: Some LCs were promoted when this unit was tiny. Many have not kept pace technically. Swapping their roles is sensitive, however, because of their relationships with the CEO.

Anjali Singh, a consultant: Clients approach me directly, bypassing the LC. If I am informally leading this project, why isn't that recognized formally?

Jacob Ferrera, CIO at Truvance Pharma: Your people work hard, but we never see the right person in the right seat. We're considering other vendors for the next phase.

Anamta Mir, Senior Director at Arvenza Therapeutics: Your demo crashed twice during our kickoff. We feel like this is too much of a delivery risk and would like to postpone our analytics module for now.

As Shobesh was collecting feedback from LSV India, he overheard Ashwin Patel, another LC, speaking to a colleague in the hallway:

Ashwin Patel: Shobesh wants efficiency, but changing the team structure means stepping on toes. Some of us have built these relationships over many years. Loyalty matters as much as efficiency.

The Dilemma

The fallout of lost contract extensions with clients and penalties from rework rates were reflected in the quarterly financials; services revenue declined by 8% year-on-year, the first drop since LSV India was established. Numbers alone suggested a straightforward fix: adjust teams to align skills with project needs and appoint acting leads as performance warranted.

Yet every potential change seemed like a political equation. Redesigning teams risked alienating long-serving LCs whose informal access to the CEO could shape perceptions back at headquarters. Leaving the teams as is would fail to address LSV India's challenges and risk losing talented consultants who felt stuck in their current roles.

The Ask

1. What should Shobesh do?

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